

District-Dhaka.

**IN THE SUPREME COURT OF BANGLADESH
HIGH COURT DIVISION,
(CIVIL REVISIONAL JURISDICTION)**

Present:

Mr. Justice Md. Toufiq Inam

Civil Revision No. 6089 of 2024.

Jamuna Bohumukhi Samabaya Samity Ltd. and
others.

----- Respondents-Petitioners.

-Versus-

AKM Saifu Islam and others.

----- Claimant-Opposite Parties.

Mr. Md. Ruhul Quddus, Senior Advocate with
Mr. Muhammad Anjarul Hasan, Advocate

----- For the Respondents-Petitioners.

Mr. Syed Miznur Rahman, Advocate

----- For the Claimant-Opposite Parties.

Heard On: 10.07.2025; 17.07.2025.

And

Date of Judgment: 3rd Day of August 2025.

Md. Toufiq Inam, J.

This Rule was issued calling upon the opposite parties to show cause as to why the judgment and order No. 12 dated 23.10.2024 passed by the learned District Judge, Dhaka in Arbitration Miscellaneous Case No. 61 of 2024, appointing arbitrators on behalf of both parties, should not be set aside and/or pass such other or further order or orders as to this Court may seem fit and proper.

The facts, in brief, are that opposite party No. 1, as the arbitration-claimant, instituted Arbitration Miscellaneous Case No. 61 of 2024 under Section 12 of the Arbitration Act, 2001 before the learned District Judge, Dhaka, seeking appointment of an arbitrator. The

claimant asserted that he had entered into a joint venture agreement on 19.09.2004 with the petitioner-Jamuna Bohumukhi Samabaya Samity Ltd. (hereinafter “Jamuna”) for development of land leased from the National Housing Authority, whereby the distribution of developed real estate was fixed at 80% for Jamuna and 20% for the claimant. Subsequently, another agreement dated 21.01.2007 was executed between Navana Real Estate Ltd. (hereinafter “Navana”) and Jamuna, in which the claimant participated in his capacity as the then Chairman of Jamuna. It is admitted that the claimant no longer holds such office.

Alleging that respondent-Jamuna, in collusion with some of its officials, failed to deliver 157.6 apartments along with equivalent car parking spaces as per mutual understanding, the claimant issued a legal notice dated 27.12.2023, demanding delivery and payment of Tk. 7,00,00,000/- within 30 days. Upon alleged non-compliance, Arbitration Miscellaneous Case No. 61 of 2024 was filed on 07.02.2024, wherein the claimant nominated Mr. Ikter Ahmed as his arbitrator. The learned Court admitted the case and issued notice, but the petitioners (Jamuna) contend that the address used was incorrect and that service was falsely shown in collusion with the process server. Consequently, an ex parte order was obtained on 25.06.2024.

Upon becoming aware of the ex parte order, the petitioners filed an application under Section 151 of the Code of Civil Procedure. The learned District Judge, after hearing both sides, allowed the application and, by order dated 29.08.2024, set aside the ex parte order and fixed 19.09.2024 for submission of written objections. Accordingly, the petitioners filed their written objections within time, challenging the maintainability of the proceeding on multiple grounds- namely, that there is no arbitration clause in the 2004 agreement, that the claimant has no privity or legal standing under the

2007 agreement, and that the statutory notice under the Arbitration Act, 2001 was never served upon them. Simultaneously, the petitioners nominated Mr. Sukanto Kumar Basu, Advocate, Supreme Court of Bangladesh, as their arbitrator. After hearing both parties, the learned District Judge, by the impugned order dated 23.10.2024, allowed the application and appointed the claimant's nominated arbitrator, rejecting the arbitrator proposed by the petitioners. Aggrieved thereby, the present petitioners moved this Court and obtained the instant Rule, which is now taken up for final disposal.

Mr. Md. Ruhul Quddus, learned Senior Advocate, appearing with Mr. Muhammad Anjarul Hasan, Advocate submits that the arbitration clause, which forms the jurisdictional foundation for any proceeding under Section 12 of the Arbitration Act, is completely absent in the 2004 agreement. Clause 9 of the said agreement merely provides that in case of any unforeseen or inevitable situation, the parties shall resolve the dispute mutually and shall not approach the court. Such a provision, though indicative of a preference for amicable resolution, does not satisfy the mandatory ingredients of an arbitration agreement as defined under Section 2(n) of the Arbitration Act, 2001. It contains no reference to arbitration, arbitrators, binding adjudication, or any agreed forum of determination. He argues that it is well-settled that an agreement to negotiate or consult is not equivalent to an agreement to arbitrate. Therefore, Clause 9 cannot be construed as a valid arbitration clause capable of invoking Section 12 of the Act.

He further submits that as regards the 2007 agreement, it appears on the face of the document that it was executed between Navana and Jamuna, both being juristic entities. The claimant signed the same only in his representative capacity as the then Chairman of Jamuna. More significantly, the 2007 agreement contains no mention, reference, or incorporation of the earlier 2004 agreement. In absence of such reference or cross-linkage, the two contracts must be treated

as distinct and unrelated. Since the arbitration clause being Clause 21 relied upon by the claimant exists only in the 2007 agreement and since the claimant is neither a contracting party in his personal capacity nor has any dispute arisen under that agreement with Navana, the claimant holds no legal standing to invoke the said arbitration Clause 21 against Jamuna.

Per contra, Mr. Syed Mizanur Rahman, learned Advocate appearing for the claimant, submits that an arbitrable dispute exists and that the claimant acted on behalf of Jamuna during both agreements. He argues that Clause 21 of the 2007 agreement provides for arbitration and the claimant's role as Chairman is sufficient to give him standing. He also argues that Jamuna's proposal of an arbitrator shows their admission of arbitration.

He further argues that the arbitrator proposed by Jamuna, Mr. Sukanto Kumar Basu, is their conducting counsel in pending Civil Suit No. 53 of 2021, which concerns the same subject matter. Hence, his appointment would undermine the impartiality and neutrality required under Section 13 of the Arbitration Act, 2001. He further contends that the present petitioners, Jamuna, are blowing hot and cold, having denied the existence of an arbitration clause while simultaneously proposing an arbitrator.

By placing reliance on the Award, Mr. Rahman finally submits that pursuant to the appointment of arbitrators under the impugned order, an arbitral tribunal was duly constituted. The Claimant had no knowledge of any order from this Court staying the arbitral proceedings initiated under the said order. Although Jamuna did not participate in the proceedings, the tribunal proceeded and passed an Award. Therefore, as the impugned order has already been acted upon, no interference is warranted.

Having heard the learned Advocates for both parties, examined the materials on record, and considered the applicable provisions of law, this Court now proceeds to deliver its reasons and decision.

A careful scrutiny of the 2004 joint venture agreement reveals that Clause 9 states as follows: “৯। কোন অনিবার্য বা অদৃশ্য কারণ উদ্ভব হইলে ২য় পক্ষ ইহাতে ক্ষুণ্ণ হইয়া কোন আদালতের সুরনাপন্ন হইতে পারিবেন না। এমন অবস্থা বা পরিস্থিতির উদ্ভব হইলে উভয়পক্ষ একত্রে বসিয়া উহা মীমাংসা করিয়া নিবেন।” This clause is patently insufficient to qualify as an arbitration agreement under Section 2(n) of the Arbitration Act, 2001, which requires an express written agreement to submit present or future disputes to arbitration. There is no reference to arbitration, no mention of an arbitrator or any adjudicatory process. The clause merely expresses an intention to avoid court and resolve matters amicably. It neither binds the parties to a third-party adjudicator nor creates a mandatory arbitration forum. Thus, Clause 9 is not an arbitration clause within the meaning of law. A clause suggesting informal negotiation without reference to arbitration is insufficient to oust court jurisdiction or trigger arbitration proceedings.

As to the 2007 agreement with Navana, this Court finds that it is an independent agreement executed between two juristic entities: Navana and Jamuna. The claimant merely acted in a representative capacity and did not sign in his individual or beneficial capacity. Thus, the claimant lacks privity and locus standi to assert rights under that agreement. The arbitration clause (Clause 21) in that agreement cannot be invoked by or against the claimant personally. Moreover, no dispute is claimed against Navana, the actual counterparty. Therefore, the 2007 agreement is irrelevant for purposes of invoking arbitration under Section 12 of the Act 2001.

The contention raised on behalf of the claimant that the petitioners are blowing hot and cold, by simultaneously denying the arbitration clause and proposing their own arbitrator, does not hold legal merit. This Court is not persuaded by the allegation of inconsistency. The petitioners' act of proposing an arbitrator in compliance with the Court's directive cannot be construed as an admission of the existence of a valid arbitration agreement. Rather, it was a precautionary and alternative step, without prejudice to their categorical objection as to the maintainability of the proceeding. A party's compliance with a procedural direction does not estop it from contesting jurisdiction or statutory preconditions. The doctrine of estoppel by conduct or "blowing hot and cold" cannot override the express bar of jurisdiction where the statutory foundation of the arbitration proceeding is altogether absent.

It further appears from the materials on record that the legal notice dated 27.12.2023, purportedly issued under Section 12 of the Arbitration Act, 2001, was never duly served upon the petitioners. The address used was incorrect, and no acknowledgment of receipt or proof of proper service has been produced. Service of notice is not a mere procedural formality but a mandatory statutory precondition that initiates the 30-day timeline for the other party to respond or appoint an arbitrator. Failure to effect valid service vitiates the process and renders any application filed for appointing arbitrator premature and not maintainable in law.

The rejection of the arbitrator proposed by Jamuna, Mr. Sukanto Kumar Basu, was also unjustified. The learned Court below rejected his nomination on the ground that he had previously acted as counsel for Jamuna in a pending civil suit involving similar subject matter. Even if such engagement existed, the appropriate course would have been to inform Jamuna and allow it an opportunity to nominate a substitute arbitrator. The unilateral rejection without such opportunity

violates the statutory right of equal participation guaranteed under Section 12(3)(b) of the Act and offends against the principles of natural justice.

This Court is of the considered view that in the absence of a clear and unequivocal clause in the agreement indicating the parties' intent to submit disputes to arbitration, no inference can be drawn by the Court to that effect. Arbitration is a consensual and exceptional mode of dispute resolution which must be founded on a valid arbitration agreement as defined under Section 2(n) of the Arbitration Act, 2001. Therefore, unless the agreement contains explicit reference to arbitration, arbitrators, or an arbitral process, the jurisdiction of the Court under Section 12 to appoint arbitrators cannot be invoked. Courts must guard against importing or implying arbitration clauses where none exist, so as to preserve the sanctity of party autonomy and avoid forcing parties into a process they never agreed upon.

This Court finds that there exists no valid arbitration agreement under the 2004 agreement. Moreover, in light of the claimant's lack of privity and standing under the 2007 agreement, the learned District Judge had no jurisdiction to entertain the application or to proceed with the appointment of arbitrators. The proceeding was not maintainable in law, and the impugned order, having been passed in excess of jurisdiction and in disregard of the statutory requirements, is legally unsustainable.

The Claimant's contention that an Award has been passed pursuant to the constitution of the arbitral tribunal under the impugned order does not validate a proceeding that is inherently not maintainable. The mere continuation of the arbitral process, or the Claimant's lack of knowledge regarding the stay order, cannot confer jurisdiction where no arbitration agreement exists between the Claimant and the respondent, Jamuna. In the absence of such an agreement, the arbitral

proceedings are fundamentally without jurisdiction. That the tribunal proceeded ex parte or that the Claimant was unaware of the stay does not alter this legal position. Since this Court finds that the arbitration itself is not maintainable in the facts and circumstances of the case, the impugned order appointing arbitrators is set aside, and any action taken there under, including the Award, stands void and of no legal effect.

Accordingly, **the Rule is made absolute.**

The judgment and order dated 23.10.2024 passed by the learned District Judge, Dhaka in Arbitration Miscellaneous Case No. 61 of 2024 is hereby set aside. The application filed by the Claimant under Section 12 of the Arbitration Act, 2001 is dismissed as not maintainable.

There shall be no order as to costs.

Let a copy of this judgment be sent to the learned Court below for information and necessary compliance.

(Justice Md. Toufiq Inam)